

that his wife did better at investing than all of them! Now he was about to tell us how she did it. As they say, you could have heard a pin drop.

Ignoring our stunned silence, Bob continued, “Dee has always been very patriotic. So years ago she decided to buy all the stocks with ‘U.S.’ or ‘American’ in their names. She bought U.S. Steel, U.S. Shoe, U.S. Gypsum, U.S. Silica, American Airlines, American Brands, American Can, American Cyanamid, American Electric Power, American Express, American Greetings, American Home Products, American Hospital Supply, American International Group, American Locomotive (this was a while ago), American Motors, American South African, American Telephone & Telegraph, British American Tobacco, North American Aviation, Pan American Airlines ... and many smaller companies.”

Some of us started smiling. We did not know if Bob was serious or if he was putting us on. However, Bob seemed sincere and continued, “Dee did very well this way. After a number of years, she wanted to buy some additional stocks. Since she admired General Eisenhower and General MacArthur, she decided to buy all the Generals: General Dynamics, General Electric, General Mills, General Motors, General Maritime, General Steel, General Telephone, Dollar General, Mercury General, Media General, Portland General Electric Since then, Dee has continued to do better with her portfolio than anyone I know, and that’s the God’s honest truth.”

Everyone smiled at Bob and seemed amused as we adjourned for lunch. However, for days, and then weeks, I could not stop thinking about Dee. Dee had access to some astute investment information herself. Not only had she then been married to Bob for almost 30 years then, but Dee’s father had owned an OTC market-making firm. I kept asking myself how Dee could have outperformed the world’s best money managers for so long with such a naïve strategy. Had she just been incredibly lucky? After a few weeks, the answers came to me.

WHY IT WORKED

First, Dee’s portfolio had relatively little in the way of transaction costs. She bought stocks only once and held onto them forever. Commissions